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P25-A520U20-1**eduqas**

Part of WJEC

GCE A LEVEL**A520U20-1**

PREDICTED 2025 – AFTERNOON

ECONOMICS – A level component 2
Exploring Economic Behaviour

2 hours 30 minutes

*PREDICTED PAPER 2 (HARD)***ADDITIONAL MATERIALS**

A calculator.

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer all questions.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example

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Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

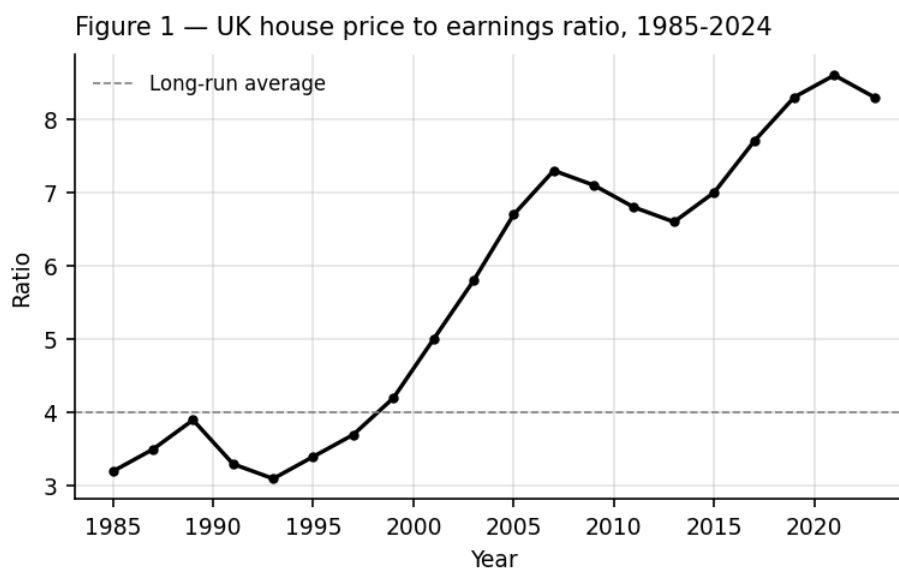
The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

Answer all questions.

A roof over your head

Few economic issues generate as much political heat in the UK as the price of housing. Over the last forty years, the average UK house price has risen much faster than average earnings, so that the ratio of house prices to incomes has roughly doubled (Figure 1). The gap is most extreme in London and the South East, where median house prices now stand at more than 12 times median earnings — well above the long-run average of around four times.

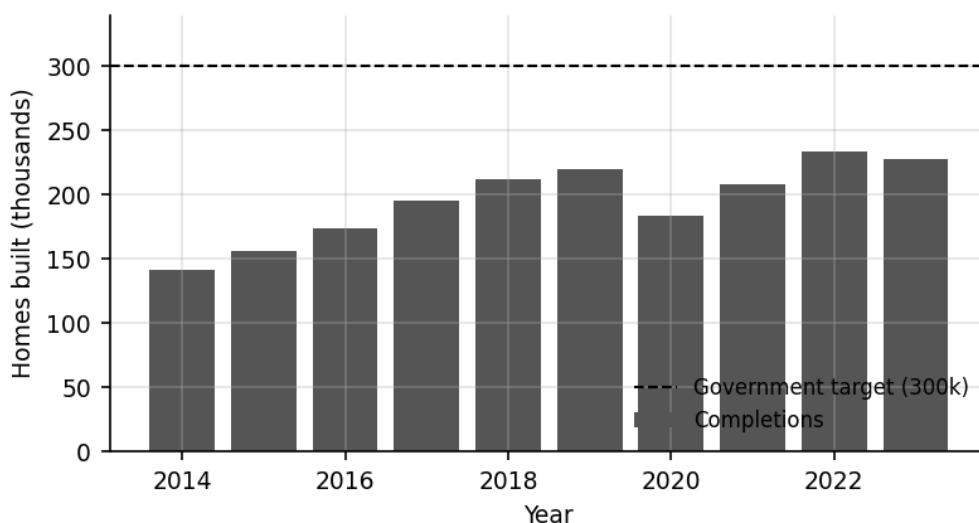


Supply and demand

Commentators disagree on the causes. On the demand side, real incomes, population growth, smaller household sizes and — until recently — historically low interest rates have all pushed demand upwards. Between 2009 and 2021 the Bank Rate averaged below 1%, making mortgages cheaper and encouraging purchasers to bid more. The Help to Buy scheme, which provided government-backed equity loans for buyers of new-build homes, is estimated by the NAO to have raised prices by around £16,000 for eligible homes.

On the supply side, UK housebuilding has consistently fallen short of government targets. Against an official target of 300,000 new homes per year, completions have averaged around 220,000 over the last decade (Figure 2).

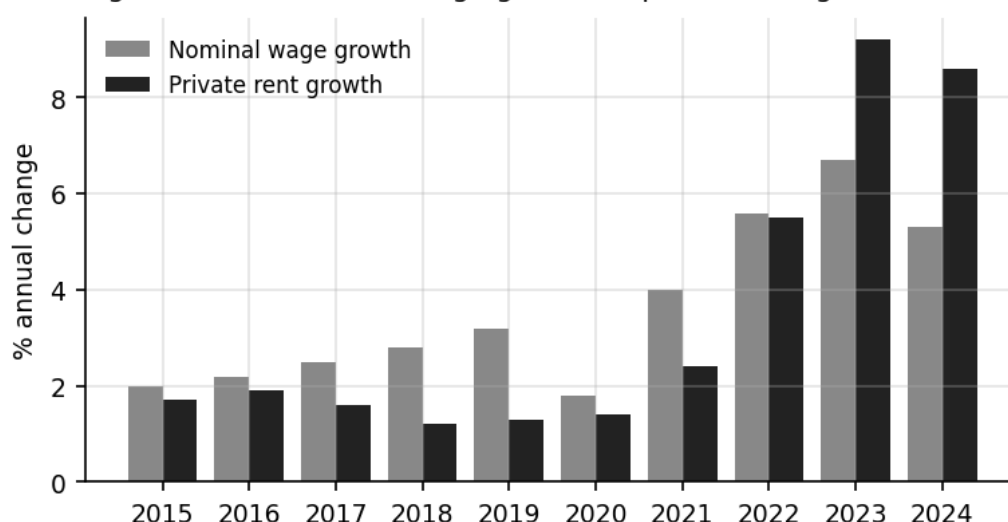
Figure 2 — UK annual housing completions vs government target



The affordability squeeze

Since 2022 the picture has changed. The Bank of England has raised interest rates sharply to fight inflation, pushing the average two-year fixed mortgage rate above 5%. For a typical first-time buyer, this has added several hundred pounds per month to their mortgage payments. At the same time, private rents have risen by around 9% a year, because landlords face higher mortgage costs of their own and some have left the market. The English Housing Survey estimates that 4.2 million households now spend more than 30% of their disposable income on housing — the accepted threshold for housing stress.

Figure 3 — UK nominal wage growth vs private rent growth



What the government could do

Policy proposals fall into three broad groups. First, some argue for more aggressive supply-side action: planning reform, compulsory purchase of under-used urban land, and large-scale social housebuilding directly by local authorities. Second, others advocate demand-side measures such as stricter rules on mortgage lending or stamp duty reform. Third, rent controls have been proposed for the private rented sector, arguing that regulation is needed because tenants cannot easily relocate

and face significant search and moving costs when choosing between landlords.

Each approach has strengths and weaknesses. Supply-side reforms face significant political opposition from existing homeowners. Demand-side restrictions can lock first-time buyers out of the market altogether. And the economic evidence on rent controls is heavily contested: some studies suggest that controls reduce the quality and quantity of rental supply, while others find that moderate 'second-generation' controls — which cap increases rather than absolute rents — can protect existing tenants without greatly reducing supply.

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 Using the data, explain why UK house prices have risen more quickly than average incomes over the past forty years. [5]
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 Using the data, explain why higher interest rates have reduced housing affordability for first-time buyers. [5]
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 Evaluate the effectiveness of government policies aimed at improving the affordability of owner-occupied housing in the UK. [10]
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 Using the data, discuss the extent to which rent controls would be beneficial for low-income tenants. [10]
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 Using the data, discuss whether increasing housing supply is the best way to solve the UK housing crisis. [10]

Working in the gig economy

Over the past decade the UK labour market has been transformed by the rise of the 'gig economy'. The Office for National Statistics estimates that around 4.4 million people now do some paid work through digital platforms such as Uber, Deliveroo, Amazon Flex and TaskRabbit — up from fewer than 400,000 in 2016. For many of these workers, platform work is a second job that provides additional income; for others, it is their main source of earnings.

Why workers and firms use platforms

Workers report that the main advantages of gig work are flexibility and the ability to fit earning around caring responsibilities or studies. Firms, for their part, benefit from a large on-demand workforce without the fixed costs of employing staff directly, and without paying employer National Insurance, holiday pay or sick pay, because most gig workers are classified as self-employed rather than employees.

The other side of the coin

Critics point out that the same features that make gig work attractive to firms can be damaging for workers. Platforms typically set the price of each ride or delivery unilaterally, and individual workers have no realistic ability to negotiate. Because switching between platforms is costly (each requires vehicle checks, training and a period of building up a reputation score), many workers effectively face a small number of dominant buyers for their labour — a situation sometimes described as 'platform monopsony'.

The data in Figure 1 show a stylised daily labour market for a delivery platform operating in a medium-sized UK city.

Figure 1 — Hourly labour supply schedule for a delivery platform

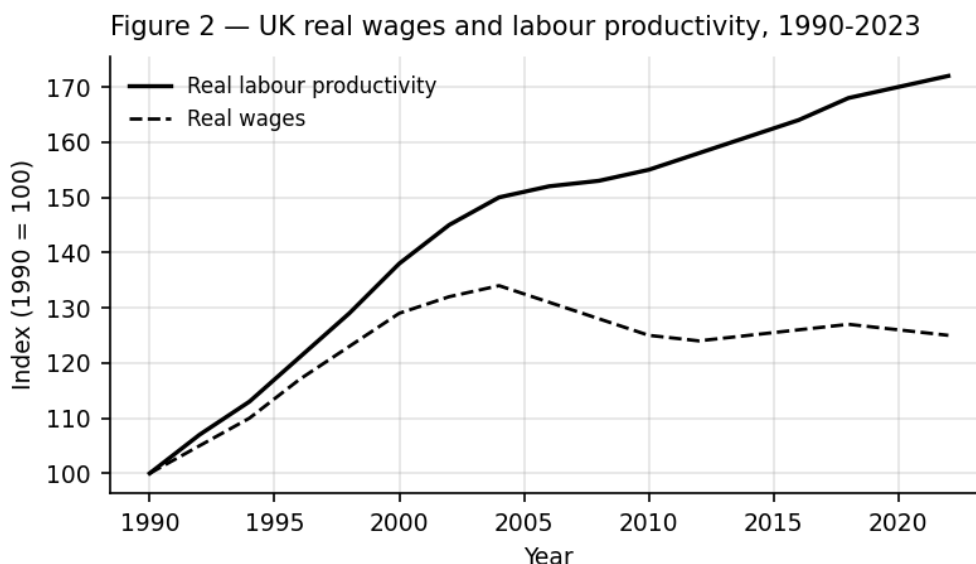
Hourly wage offered	Workers willing to supply labour	MRP of the last worker	Total wage bill	MCL
£8	0	—	£0	
£9	10	£18	£90	
£10	20	£16	£200	
£11	30	£14	£330	
£12	40	£12	£480	
£13	50	£10	£650	
£14	60	£8	£840	
£15	70	£6	£1050	

The minimum wage debate

The National Living Wage, which applies to workers aged 21 and over, rose to £11.44 per hour in April 2024, with the Low Pay Commission aiming to reach two-thirds of median hourly earnings. Supporters argue that the minimum wage has raised the incomes of the lowest-paid workers without causing significant unemployment — exactly what standard theory predicts when employers have monopsony power. Critics respond that a rising minimum wage squeezes small businesses in low-wage sectors and that, in the longer term, firms respond by automating tasks previously done by

low-paid workers.

Gig workers, however, are excluded from much of this protection because they are not technically employees. A series of high-profile legal cases, including the Supreme Court's 2021 ruling against Uber, have begun to narrow this gap. The Court ruled that Uber drivers were 'workers' under UK employment law and were entitled to the minimum wage, paid leave and whistleblowing protection. Similar challenges are continuing against other platforms.



Over the long run UK real wages have grown much more slowly than labour productivity (Figure 2). Economists are divided on how much of this 'wage squeeze' reflects the decline of collective bargaining, how much reflects structural changes in the labour market including the growth of platform work, and how much reflects slower productivity growth of its own accord.

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 Using the data, outline the characteristics of monopsony power shown in the UK labour market for gig workers. [5]
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 Using Figure 1, calculate the marginal cost of labour (MCL) at each level of employment. Record the answers in your pink answer booklet. Using your answers, explain at what level of employment a monopsonistic platform would maximise profits. [7]
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 Using a labour market diagram, evaluate the effects on employment and wages of imposing a binding minimum wage in a monopsonistic labour market. [10]
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 Evaluate the view that trade unions always cause unemployment. [7]
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 With reference to the data, discuss the extent to which the growth of the gig economy has reduced economic welfare in the UK. [11]

END OF PAPER

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